



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
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April 6, 2026

VIA ELECTRONIC MAIL

Evan Escobar
Blue Cross of California Partnership Plan, Inc.
21215 Burbank Boulevard
Woodland Hills, CA 91367

Re: Proposed Contract Termination with O'Connor Hospital
Block Transfer Filing No. 2026-HOSP-89
Filed on March 16, 2026

Dear Mr. Escobar:

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Blue Cross of California Partnership Plan, Inc.** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **O'Connor Hospital** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **July 1, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. In the Plan's response to the Department's initial comment letter, the Plan stated that "O'Connor Hospital provides certain high-level services, including burn care." Please confirm if O'Connor Hospital provides other high-level specialty services other than burn care.

Plan Response: The Plan corrects its prior statement regarding burn care at O'Connor Hospital. The prior response was inaccurate. O'Connor Hospital is not a burn center. The Plan has no record that O'Connor Hospital provides burn care or other high-level specialty services under the contract at issue.

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The Plan confirms that O'Connor Hospital does not provide transplant services and is not designated as a Center of Excellence or Blue Distinction Center under this agreement.

2. In the Plan's response to the Department's initial comment letter, the Plan stated that "post-termination, enrollees requiring burn services will be redirected to contracted facilities within the Anthem Medi-Cal network that provide equivalent burn care services, ensuring continued access within regulatory time and distance standards." Can the Plan please specify which Alternate Hospitals will provide burn care services?

Plan Response: The Plan corrects its prior statement that O'Connor Hospital provides burn care. Enrollees requiring burn care services will be referred to contracted hospitals that provide burn center-level services.

3. In the Plan's response to the Department's initial comment letter, the Plan states that it will correct and confirm that utilization associated specifically with the terminating hospital is minimal and accurately reflected in the revised filing. Please provide an update regarding this correction.

Plan Response: The Plan confirms that utilization specific to O'Connor Hospital for the last calendar year is 141 bed days across 27 admissions.

Please submit the Plan's response by **April 13, 2026**, via the Block Transfer portal as a "Response to Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,



Stacie Litovchenko
Analyst II
Office of Plan Monitoring

